

INTERNSHIP REPORT

As a partial fulfilment of the requirement of

Bachelor of Commerce (B.com)

Topic: - Financial Statement Analysis of Hero Motorcorp LTD.

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Supervised by: -

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Certificate of Internship



Certificate of Supervisor

This is to certify that the Internship Report on “**Financial Statement Analysis of Hero Motocorp Ltd**” in the bona fide record at the report is done by **Mark Maxwell Louis** as a partial fulfilment of the requirement of **Bachelor of Commerce (Hons.) Degree** from the **Department of Commerce and Finance, Quantum University**.

This report has been prepared under my guidance and is a record of bona fide work carried out successfully.

MS. VAISHNAVI THAKUR

ASSISTANT PROFESSOR

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DATE _____

Acknowledgement

I would like to take this opportunity to acknowledge everyone who helped me in every stage of this project.

I am deeply thankful to my Project Supervisor Ms. Vaishnavi Thakur for her guidance and suggestions in completing this project. The completion of this project was possible under her guidance and support.

I am also very thankful to my parents and my friends who have boosted me up morally with their continuous support.

At last but not least, I am very thankful to God almighty for showering his blessings upon me.

DECLARATION

I hereby declare that the project work entitled “**Financial Statement Analysis of Hero Motocorp Ltd**” submitted to the Department of Commerce and Finance, Quantum University, Roorkee is a record of an original work done by me under the guidance of, Ms Vaishnavi Thakur Assistant Professor Dept. of Commerce and Finance, Quantum School of Business and this project work is submitted in partial fulfilment of the requirements for the award of the degree of Bachelor of Commerce. The results embodied in this project have not been submitted to any other University or Institute for the award of any degree or diploma.

Mark Maxwell Louis

B.COM 3RD YEAR

20170005

Table of Content

S.No	TITLE	Page No.
1.	Acknowledgement	3
2.	Declaration	4
3.	Certificate of Supervisor	5
4.	Certificate of Internship	6
5.	Content	7-16
6.	Introduction	16-29
7.	Analysis and Presentation of Data	30-37
8.	Conclusion and Suggestions	38-41
9.	Bibliography and Sources	42

CHAPTER-I

INTRODUCTION

INTRODUCTION:

Financial statements are prepared primarily for decision making. They play an important role in setting the framework for managers' decisions. However, the information provided in the financial statements is by no means consequential as significant conclusions cannot be drawn from these statements alone. However, the information provided in the financial statements greatly helps in decision making through the analysis and interpretation of the financial statements. Financial analysis 'the process of determining the financial strengths and weaknesses of a business by correctly establishing the relationship between balance sheet items and the profit and loss account' there are many methods or different techniques used to analyse financial statements. An important source of information for assessing business performance and prospects, if properly analysed and interpreted, these statements can provide valuable information about business performance. . Financial statement analysis is of interest to lenders, investors, securities analysts, regulators, and others.

Financial statement analysis can be performed for a variety of purposes, which can range from a simple analysis of a firm's short-term liquidity position to a comprehensive assessment of a business's strengths and weaknesses in the future. Different areas, very useful for assessing business excellence, assessing creditworthiness, predicting bond ratings, assessing intrinsic value of stocks, predicting bankruptcy and evaluating market risk.

Economic situation:

Managers, shareholders, creditors, and other interested groups seek to answer the following question about the company:

- What is the financial position of the company at any point in time?
- What is the financial performance of the company in a given period?
- What is the source and use of cash in a given period? To answer these questions, accountants prepare two main reports, balance sheet and profit and loss account, addendum report, cash flow statement.

Financial statement analysis

Analysis refers to the process of critically examining the financial information contained in financial statements to understand and make decisions about business operations. Analysis is basically the study of relationships between various financial facts and figures as they appear in a set of financial statements. Complex figures such as those presented in these statements are broken down into simple and variable elements and meaningful relationships are established between elements of the same financial statement and other elements. Various financial statements.

This is the process of dissecting, identifying, and identifying a company's financial strengths and weaknesses. It shows two aspects of a business, profitability and financial condition, and it is called the goal of the analysis.

Financial statement analysis

In general, there are three steps involved in analyzing financial statements. Have:

- Option,
- Classification,
- Interpretation.

The first step is to select information (data). The second step involved is the methodical classification of the data, and the third involves drawing of the interns and conclusions.

The following procedures are used to analyze and interpret financial statements:

- Analysts must be familiar with the principles and postulates of accounting. • The scope of analysis needs to be defined in order to determine the scope of work.
- Financial data provided in reports needs to be sorted and rearranged.
- Relationships are established between financial statements using analytical tools and techniques such as ratios, trends, overall size, cash flow, etc.
- Information is presented in a simple and understandable manner. The importance and usefulness of financial data is explained to support decision making.
- The conclusions drawn from the interpretation are presented to management in the form of a report.

Objectives of the study:

- Analyze financial statements and present its financial position.
- Appreciate and evaluate the performance of the company.
- Determine the effectiveness of the activities reflected in the financial statements.
- Make suitable recommendations for better business performance. The need and importance of the study:
- Financial analysts analyse financial statements using a variety of analytical tools before deciding on a company's financial position.
- Essential to highlight the history of Hero Moto Corp Ltd. (formerly Hero Honda Motors Ltd.).

- Importance and significance of financial statements.

Research scope:

Financial statement analysis can be performed by different people and for different purposes, so the scope of an SFA may vary from case to case. However, here are some AFS techniques:

- Comparative financial statements.
- Regular scale financial statements.
- Trend percentage analysis.
- Report on changes in financial position.
- Cost-volume-benefit relationship and
- Analyze ratios and other ratios.

Research Methods:

Research design

This is a systematic way of solving the search problem and it is such an important part of the research that without it searches might not be well-formed. Research design is the arrangement of conditions for data collection and analysis within a manager for the purpose of combining data collection and analysis relevant to the research objective with the economics of the procedure. .

Significance of study design

The next formidable task in defining a research problem is to prepare a research project design, often referred to as a research design, to decide what, where, when, how much, by what anything related to research. Research study constitutes a research estimate. Research design is the arrangement of conditions for data collection and analysis within a manager for the purpose of combining data collection and analysis relevant to the research objective with the economics of the procedure.

Data sources

The research process of the work carried out in this topic is "financial statement analysis". In this project, the method applied consists of two phases. • Data collection

- Data analysis
- Data collection:

Data means information related to the topic to be searched; this can be done using two sources.

- Main information
- Secondary data
- Main information:

Primary data is information that is collected for the first time and is therefore original in nature.

- Secondary data:
- Secondary data is data that has been collected and processed by another agency. Secondary data sources are annual reports, internet browsing, and journals.
- It includes data collected from the annual reports of Hero Moto Corp Ltd
- Items collected from the official Hero Moto Corp Ltd website. • Data analysis:

-

Data analysis is time series analysis in which tables and charts have been used to analyse the data, the following tools have been applied.

- Comparative financial statements.
- Regular scale financial statements.
- Trend rate analysis.
- Report changes in financial position.
- Cost-volume-benefit relationship, and
- Ratio analysis and others.

Limits of the study:

- This is a study of interim reports only.
- Financial analysis is based on monetary information only and ignores non-monetary factors.
- Different people may interpret the same analysis in different ways.
- Do not take into account the change of price level.
- Changes in a company's accounting procedures can often cause financial analysis to be misleading.

CHAPTER II

INDUSTRY PROFILE

Automotive industry in India

The Indian auto industry ranks ninth in the world with an annual production of more than 2.3 million units in 2008. In 2009, India became the fourth largest automobile exporter in Asia, after Japan, Korea and Thailand.

After economic liberalization in India in 1991, the Indian auto industry has shown sustained growth through increasing competitiveness and easing restrictions. Several Indian automakers such as Tata Motors, Maruti Suzuki, Mahindra and Mahindra have expanded their domestic and international operations. India's strong economic growth has led to a further expansion of the domestic auto market, which has attracted significant investment from India-specific multinational automakers. In February 2009, monthly passenger car sales in India exceeded 100,000 units. The Byronic auto industry emerged in India in the 1940s. After independence in 1947, the Indian government and the private sector made efforts to establish the auto parts manufacturing industry to supply for the automotive industry. However, relatively slow growth in the 1950s and 1960s due to nationalization and licensing jeopardizes India's private sector. After 1970, the automobile industry began to grow, but the growth was mainly due to tractors, utility vehicles and scooters. Cars are still a big luxury. Japanese manufacturers entered the Indian market, which eventually led to the creation of Maruti Udyog. Several foreign companies have established joint ventures with Indian companies.

In the 1980s, several Japanese manufacturers started joint ventures to produce motorcycles and light commercial vehicles. Around this time, the Indian government chose Suzuki for its small car joint venture. After economic liberalization in 1991 and the waning of the raj license, a number of multinational and Indian car manufacturers started business. Since then, the growth rate of auto components and auto production has accelerated to meet domestic demand and export.

History of two wheels:

Encyclopedia Britannica a type of motorcycle such as a bicycle or tricycle powered by an internal combustion engine (or less often, an electric motor). Cars were the answer to the self-propelled paddles of rickshaws in the 19th century. Likewise, the invention of the motorcycle gave rise to the self-propelled bicycle. The first commercial vehicle was a tricycle built by Edward Butler in England in 1884. It used a single-cylinder horizontal gasoline engine mounted between two front wheels that were steered and connected by Chain drive with rear wheel. The 1900s saw the transformation of many bicycles or pedal cycles by adding small, center-mounted spark plugs. Then we felt the need for reliable works. This led to test drives and competition among manufacturers. Tourist Trophy (TT) races were held on the Isle of Man in 1907 as races of reliability or endurance. This is the proof-of-concept for many new ideas, from the original two-stroke cycle design to the supercharged multi-purpose engine mounted on a bike-fibre-reinforced aerodynamic body. Invention of the two-wheeler.

The invention of the two-wheeler was a matter of great controversy. "Who invented the first motorcycle? Possibly a simple question, "safe", bicycle, i.e. a bicycle with the same size front and rear wheels, with a pedal-operated crank mechanism to drive the rear wheels. These bikes are in turn described from high-wheeled bicycles. The high-wheeled bike is a descendant of the antique push-bike, without pedals, which is propelled by the rider's foot against the ground. These cars appeared around 1800, used iron wagon wheels, and were called "bone crushers", both for their jarring rides and their tendency to jerk people. Gottlieb Daimler (who built the first motorcycle in

1885, one front and one rear, although it had smaller spring-loaded stabilizer wheels on each side. It was built mostly of wood, the wheels are iron- the kind of wagon wrapped in tape, iron and sure enough it has a "bone crusher" chassis!

Further development:

Most of the early development was focused on three- and four-wheel designs, as it was complex enough to operate the machines without having to worry about them falling. The next notable two-wheeler, however, was the Hildebrand & Wolf Mueller, patented in Munich in 1894. In 1895, the French firm DeDion-bouton built an engine that could be mass produced. Series and popular use of motorcycle. The first motorcycle with electric starter and a completely modern electrical system; The Indian Special Motorcycle Company stunned the industry in 1931. Before World War I, IMC was the largest motorcycle manufacturer in the world, producing more than 20,000 motorcycles a year.

Increasingly popular:

The popularity of this vehicle especially increased after 1910, in 1916; Indian Motorcycle Company introduced H racer model and sold it. During the First World War, all branches of the armed forces in Europe mainly used motorcycles for transportation. After the war, it prevailed in the sports field until the Great Depression that began with motorcycles and lasted until the end of the 20th century; Vehicle weight used for sports competitions, high-speed touring. The most sophisticated of a 125 cc model. Since then, more and more powerful motorcycles have ignited the roads. Industry development history:

India is the second largest two-wheeler manufacturer and builder in the world. It is second only to Japan and China in the number of V products and domestic sales respectively. This destination has been achieved due to many reasons such as restrictive policy of Indian government towards touring bicycle industry, increasing demand for private transport, inefficient public transport system, etc. India's two-wheeler industry got off to a small start in the early 1950s when Automotive Products of India (API) started manufacturing scooters in the country. Until 1958, API and Enfield were the only manufacturers. The two-wheeler market was opened to foreign competition in the mid-1980s. And the market leaders at the time - Escorts and Enfield - were caught off guard by the onslaught of motorcycles. 100cc from four Indo-Japanese joint ventures. With the availability of fuel-efficient bikes, demand soared, helping Hero Honda - then the only manufacturer of four-stroke bikes (100cc class) - to take the lead.

The first Japanese motorcycles were introduced in the early 80's. TVS Suzuki and Hero Honda respectively introduced the first motorcycles with two-stroke and four-stroke engines. These two players first started by assembling CKD sets, then moved to domestic production.

The industry did well in the 1950s, 60s and 70s when the government banned new imports and tightly controlled capacity expansion. The industry experienced sudden growth in the 1980s. The industry was stable at 14% leading to a peak production of 1.9 million vehicles in 1990.

In 1990, the entire auto industry experienced a sharp drop in demand. This led to a decline of 15% in 1991 and 8% in 1992, resulting in the production of 0.4 million vehicles damaged. With the exception of Hero Honda, all major manufacturers experienced recessions in the financial years 1993 and 1994. Hero Honda showed a slight decline in 1992.

The cause of the downturn in this sector was the relentless increase in fuel prices, high input costs and a decline in purchasing power due to the substantial increase in production in 1992, due to new entrants along with the downturn in the industry. Industry, causing companies to declare losses or reduce in profit.

CONCLUSION:

The two-wheeler market has seen a remarkable shift from a buyer's market to a seller's market with many choices that players will have to compete on different fronts. pricing, technology product design, productivity, after-sales service, marketing and distribution. In the short term, the market share of individual manufacturers will be sensitive to the capacity, product acceptance, price and competitive pressures of other manufacturers.

As incomes increase, people age, and people feel the need to own private transportation, sales of two-wheelers will increase. Penetration is expected to increase to around 25% by 2005. The motorcycle segment will continue to dominate the demand for two-wheelers in the coming years. Motorcycle sales are expected to grow 20% year-on-year, compared to 1% growth in the scooter market and 3% growth in motorcycle sales over the next two years.

Four-stroke scooters will add a new direction to the two-wheeler segment in the near future.

Asia is the largest user of two-wheelers in the world. This is due to poor road infrastructure and low per capita income, restrictive policies of the bicycle industry. This is due to the oligopoly between the top five companies in the segment, versus the bike-hungry manufacturers in the bicycle industry.

Hero Honda Motor Ltd., is one of the leading companies in the two-wheeler industry. Currently, the company is the market leader in the motorcycle segment with about 47% market share in the financial year 2000-01. During the year, the company recorded a revenue increase of 41.15% year-on-year to Rs 31,686.5 million for motorbikes, thanks to a 35.17% increase in motorcycle sales compared to the same period last year. The company has become one of the most successful, outperforming its competitors thanks to its superior and reliable product quality, complemented by excellent marketing techniques. The company has always responded to the growing demand for motorcycles and has a cumulative customer base of more than 4 million customers, which is expected to reach 5 minutes, with the rural and semi-urban segments as the consumer class new.

CHAPTER-II

INTRODUCTION OF

COMPANY

BUSINESS PROFILE

About Company

Hero Motocorp Ltd. formerly Hero Honda is an Indian motorcycle and scooter manufacturer headquartered in New Delhi, India. Hero Honda started its business in 1984 as a joint venture between Hero Cycles of India and Honda of Japan. The company is the largest two-wheeler manufacturer in India. The 2006 Forbes 200 Most Respected Companies list ranked Hero Honda Motors at number 108.

In 2010, when Honda decided to withdraw from the joint venture, Hero Group purchased the shares held by Honda. Then, in August 2011, the company was renamed Hero MotoCorp with a new image. On June 4, 2012, Hero Motocorp approved a proposal to merge the parent company's investment arm, Hero Investment Pvt. Ltd. at the car manufacturer. This move comes 18 months after parting with Honda Motor. Company Profile

"Hero" is the brand name used by the Munjal brothers for their flagship company, Hero Cycles Ltd. A joint venture between Hero Group and Honda Motor Company was established in 1984 as Hero Honda Motors Limited in Dharuhera, India. The Munjal family and Honda Corporation both hold a 26% stake in the company. In 2010, it was reported that Honda was planning to sell its stake in the company to the Munjal family.

During the 1980s, the company introduced motorcycles that were popular in India for their fuel economy and low cost. A popular advertising campaign based on the tagline "Fill it up - Close it up - Forget it" which highlighted the fuel economy of motorcycles helped the company grow at a double-digit rate. Since it was created Hero Honda motorcycle technology for nearly 26 years (1984-2010) originated from Japanese partner Honda

Hero MotoCorp has three manufacturing plants located in Dharuhera, Gurgaon in Haryana and Haridwar in Uttarakhand. Together, these factories are capable of producing 3 million bicycles per year. Hero MotoCorp has an extensive sales and service network of more than 3,000 dealers and service outlets across India. Hero Honda has had a loyalty program since 2000, called the Hero Honda Passport program.

The company has stated targets of \$10 billion in sales and 10 million two-wheelers by 2016-17. This coordinates with new countries where currently marketing their two-wheelers after Honda's shutdown, Hero MotoCorp hopes to make 10% of its revenue from international markets and they plan to sell in Nigeria by the end of 2011 or early. 2012 to meet new needs within the next 5 years, the company will build a fourth factory in southern India and a fifth factory in western India. There is no confirmation on where the factories will be built.

HISTORY

Hero MotoCorp was founded in 1984 as Hero Honda Motors Ltd.

- 1956 — Hero Cycles was founded in Ludhiana (monumental automobile limit)
- 1975 — Hero Cycles became the largest bicycle manufacturer in India.
- 1983 — Joint cooperation agreement with Honda Motor Co. Ltd. Japan signed shareholder agreement
- 1984 — Hero Honda Motors Ltd. consolidation
- 1985 — Launch of Honda Hero CD 100 motorcycle.
- 1989 — Launch of Honda's sleek motorcycle.
- 1991 — Launch of the Honda Hero CD 100 SS motorcycle.
- 1994 - Launched Hero Honda Splendor motorcycle.
- 1997 — Launch of Hero Honda Motorcycle Street.
- 1999 - Launched Hero Honda CBZ motorcycle.
- 2001 - Launched Hero Honda Passion and Hero Honda Joy motorcycles.
- 2002— Launch of Hero Honda Dawn motorcycle and Hero Honda Ambition motorcycle.
- 2003— Launched Hero Honda CD Dawn motorcycle, Hero Honda Splendor motorcycle, Hero Honda Passion Plus motorcycle and Hero Honda Karizma motorcycle.
- 2004 — Launch of Hero Honda Ambition 135 motorcycle and Hero Honda CBZ motorcycle
- 2005 — Hero Honda Motorcycle Super Splendour, Hero Honda Motorcycle CD Deluxe, Hero Honda Motorcycle Glamor, Hero Honda Motorcycle Achiever and Hero Honda Scooter Pleasure.
- 2007 — New Hero Honda Splendor NXG, New Honda CD Deluxe Hero, New Honda Passion Plus Hero and Hero Honda Hunk Motorcycle Launch.
- 2008 — Launch of new motorcycle models Hero Honda Pleasure, CBZ Xtreme, Glamor, Glamor Fi and Hero Honda Passion Pro.
- 2009 — New Hero Honda Karizma models:

Karizma - ZMR and Hero Honda Hunk launch limited edition motorcycles
- 2010 — New Hero Honda Splendor Pro motorcycles and new Hero Honda Hunk motorcycles and launched the new Hero Honda Super motorcycle Splendor.

- 2011 — Launching new Hero motorcycle models Honda Glamor, Glamor FI, CBZ Xtreme, Karizma. New license agreement signed between Hero and Honda. In August, Hero and Honda parted ways, forming Hero MotoCorp and Honda leaving the Hero Honda joint venture. In November, Hero launched his first mountain bike called Hero "Impulse".
- 2012-New Hero Motocorp Maestro and Ignitor muscle scooter models for younger generation bicycles are launched.

Termination of joint venture

In December 2010, the Board of Directors of Hero Honda Corporation decided to phase out the joint venture between Hero Group of India and Honda from Japan. Street. Hero Group will acquire Honda's 26% stake in the Hero Honda Joint Venture.] Under the joint venture, Hero Group cannot export to international markets (with the exception of Sri Lanka) and the termination of the contract means that Hero Group can now export. From the very beginning, Hero Group has relied on its Japanese partner Honda for its bicycle technology. As a result, it was feared that the Hero group would not be able to sustain the joint venture on its own.

Hero MotoCorp

The new logo and brand identity, Hero MotoCorp, was developed by the Wolff Olin's Company in London. The logo was revealed on 9 August 2011 in London, the day before the third Test match between England and India.

Hero MotoCorp can now export to Latin America, Africa and West Asia. [17] Hero is free to use any supplier for its components other than only those approved by Honda.

Company performance

In the financial year 2008-09, the company sold 3.7 million bicycles, an increase of 12% year-on-year. In the same year, the company took a 57% share in the Indian market. Hero Honda sells more two-wheelers than the second, third, and fourth two-wheelers combined. Hero Honda's bicycle, the Hero Honda Splendor, sells more than a million units a year. On June 1, 2012, Hero MotoCorp posted its highest-ever monthly sales of 5, 56,644 units for the month of May, recording a growth of 11.28%.

Identification

Brand Confidence Report published by Trust Research Advisory ranked Hero Honda 13th among brands in India.

Motorcycle models :

Hero Honda Motorcycles

- Sleek
- Street
- Ambition 133, Ambition 135
- CBZ, CBZ Star, CBZ Xtreme
- CD 100, CD 100 SS, Hero Honda Joy, CD Dawn, CD Deluxe, CD Deluxe (Self Start)
- Glamor, Glamor F.I
- Hunk
- Karizma, Karizma R, Karizma ZMR FI
- Passion, Passion Plus, Passion Pro
- Splendour, Splendour +, Splendour + (limited edition), Super Splendor, Splendor NXG, Splendor PRO
- Hero Impulse was released in 2011 after the split between hero and Honda. This is India's first off-road bike and off-road bike.

Suppliers

Hero Honda is said to have five joint ventures or affiliates, Munjal Showa, AG Industries, Sunbeam Auto, Rockman Industries and Satyam Auto Components, supplying the majority of its components.

Hero MotoCorp Limited



Hero



Type	Public
Traded as	BSE: 500182 NSE: HEROMOTOCO NSE NIFTY 50 Constituent
ISIN	INE158A01026
Industry	Automotive
Founded	19 January 1984; 38 years ago
Founder	Brijmohan Lall Munjal
Headquarters	New Delhi, India
Key people	Pawan Munjal (Chairman, MD & CEO) ^[1]
Products	Motorcycles Scooters

Production output

▲ 7,587,130 units (2018)

Revenue

▲ ₹31,517 crore (US\$3.9 billion) (2021)^[2]

Operating income

▼ ₹3,895 crore (US\$490 million) (2021)^[2]

Net income

▼ ₹2,982 crore (US\$370 million) (2021)^[2]

Total assets

▲ ₹22,161 crore (US\$2.8 billion) (2021)^[2]

Total equity

▲ ₹15,198 crore (US\$1.9 billion) (2021)^[2]

Number of employees

8,599 (2020)^[2]

Parent

Hero Motors Company

Website

[heromotocorp.com](https://www.heromotocorp.com)

Source :- [https://en.wikipedia.org/wiki/Hero_\(2022_film\)](https://en.wikipedia.org/wiki/Hero_(2022_film))

CHAPTER-V

DATA ANALYSIS

AND

INTERPRETATION

HERO MOTOCORP Income Statement 2021-22

No. of Mths Year Ending		12 Mar-21*	12 Mar-22*	% Change
Net Sales	Rs m	309,592	295,513	-4.5%
Other income	Rs m	5,579	5,550	-0.5%
Total Revenues	Rs m	315,171	301,063	-4.5%
Gross profit	Rs m	40,995	34,448	-16.0%
Depreciation	Rs m	7,151	6,895	-3.6%
Interest	Rs m	464	531	14.4%
Profit before tax	Rs m	38,959	32,572	-16.4%
Tax	Rs m	9,133	7,291	-20.2%
Profit after tax	Rs m	29,826	25,281	-15.2%
Gross profit margin	%	13.2	11.7	
Effective tax rate	%	23.4	22.4	
Net profit margin	%	9.6	8.6	

*

Results

Consolidated

Interim results exclude extraordinary / exceptional items

Source: Accord Fintech, Equitymaster

HERO MOTOCORP Income Statement Analysis

- Operating income during the year fell 4.5% on a year-on-year (YoY) basis.
- The company's operating profit decreased by 16.0% YoY during the fiscal. Operating profit margins witnessed a fall and stood at 11.7% in FY22 as against 13.2% in FY21.
- Depreciation charges decreased by 3.6% and finance costs increased by 14.4% YoY, respectively.
- Other income declined by 0.5% YoY.
- Net profit for the year declined by 15.2% YoY.
- Net profit margins during the year declined from 9.6% in FY21 to 8.6% in FY22.

HERO MOTOCORP Balance Sheet as on March 2022

No. of Mths Year Ending		12 Mar-21*	12 Mar-22*	% Change
Net worth	Rs m	153,974	158,222	2.8
Current Liabilities	Rs m	65,045	55,176	-15.2
Long-term Debt	Rs m	452	362	-19.9
Total Liabilities	Rs m	240,204	233,150	-2.9
Current assets	Rs m	113,705	105,722	-7.0
Fixed Assets	Rs m	126,499	127,428	0.7
Total Assets	Rs m	240,204	233,150	-2.9

* Results Consolidated
Interim results exclude extraordinary / exceptional items

Source: Accord Fintech, Equitymaster

HERO MOTOCORP Balance Sheet Analysis

- The company's current liabilities during FY22 down at Rs 55 billion as compared to Rs 65 billion in FY21, thereby witnessing an decrease of -15.2%.
- Long-term debt down at Rs 362 million as compared to Rs 452 million during FY21, a fall of 19.9%.
- Current assets fell 7% and stood at Rs 106 billion, while fixed assets rose 1% and stood at Rs 127 billion in FY22.
- Overall, the total assets and liabilities for FY22 stood at Rs 233 billion as against Rs 240 billion during FY21, thereby witnessing a fall of 3%

HERO MOTOCORP Cash Flow Statement 2021-22

Particulars	No. of months	12	12	% Change
	Year Ending	Mar-21	Mar-22	
Cash Flow from Operating Activities	Rs m	41,105	21,037	-48.8%
Cash Flow from Investing Activities	Rs m	-22,893	-2,220	-
Cash Flow from Financing Activities	Rs m	-18,518	-19,753	-
Net Cash Flow	Rs m	-307	-936	-

*

Results

Consolidated

Interim results exclude extraordinary / exceptional items

Source: Accord Fintech, Equitymaster

HERO MOTOCORP Cash Flow Statement Analysis

- HERO MOTOCORP's cash flow from operating activities (CFO) during FY22 stood at Rs 21 billion on a YoY basis.
- Cash flow from investing activities (CFI) during FY22 stood at Rs -2 billion on a YoY basis.
- Cash flow from financial activities (CFF) during FY22 stood at Rs -20 billion on a YoY basis.
- Overall, net cash flows for the company during FY22 stood at Rs -936 million from the Rs -307 million net cash flows seen during FY21.

Per Share Data/Valuations

No. of Mths Year Ending		12 Mar-21*	12 Mar-22*
Sales per share (Unadj.)	Rs	1,549.7	1,479.0
TTM Earnings per share	Rs	149.3	126.5
Diluted earnings per share	Rs	149.3	126.5
Price to Cash Flow	x	15.8	16.3
TTM P/E ratio	x	19.5	22.3
Price / Book Value ratio	x	3.4	3.3
Market Cap	Rs m	516,776	523,207
Dividends per share (Unadj.)	Rs	105.0	95.0

*

Results

Consolidated

Interim results exclude extraordinary / exceptional items

Source: Accord Fintech, Equitymaster

Current ratings for HERO MOTOCORP

- The company's earnings per share (EPS) for the past 12 months stood at Rs 126.5, down from the Rs 149.3 EPS recorded last year.
- The price-to-earnings (P/E) ratio, at its current price of Rs 2,826.0, stands at 22.3 times its 12-month earnings.
- The price-to-book ratio (P/BV) at current prices is 3.6 times, while the price-to-sales ratio is 1.9 times.
- The company's price-to-cash flow (P/CF) ratio is 16.3 times the company's year-end operating cash flow earnings.

Key Ratio Analysis

No. of Mths Year Ending		12 Mar-21*	12 Mar-22*
Current ratio	x	1.7	1.9
Debtors' Days	Days	3	3
Interest coverage	x	84.9	62.3
Debt to equity ratio	x	0.0	0.0
Return on assets	%	12.6	11.1
Return on equity	%	19.4	16.0
Return on capital employed	%	25.5	20.9

*

Results

Consolidated

Interim results exclude extraordinary / exceptional items

Source: Accord Fintech, Equitymaster

Ratio Analysis for HERO MOTOCORP

Solvency ratio

Current rate:

The company's current ratio improved to 1.9 times in FY 22 from 1.7 times in FY 21. Current ratio measures its ability to pay short-term obligations. Company's long-term and short-term.

Interest coverage ratio:

The company's interest coverage ratio fell to 62.3 xs in FY22 from 84.9 xs in FY21. A company's interest coverage ratio indicates a company can easily pay off its debt. How to pay interest expense on unpaid debt. Preferably a taller device.

Return on Equity (ROE):

The company's ROE fell to 16.0% in FY22 from 19.4% in FY22. ROE measures a company's ability to generate a return on its equity in the business.

Return on capital employed (ROCE):

The company's ROCE fell to 20.9% in FY 22 from 25.5% in FY 21. ROCE measures a company's ability to generate a profit from its total capital (equity plus debt capital) used in the business.

Return on Assets (ROA):

The company's ROA fell to 11.1% in FY22 from 12.6% in FY21. ROA measures the efficiency with which a company uses its assets to generate profits.

HERO MOTOCORP Share Price Performance

Over the last one year, HERO MOTOCORP share price has moved down from Rs 2,840.3 to Rs 2,826.0, registering a loss of Rs 14.4 or around 0.5%.

Meanwhile, the S&P BSE AUTO Index is trading at Rs 28,762.1 (up 0.0%). Over the last one year it has moved up from 22,849.9 to 28,762.1, a gain of 5,912 points (up 25.9%).

Overall, the S&P BSE SENSEX is up 5.7% over the year.

CHAPTER-VI

FINDINGS

SUGGESTIONS

CONCLUSION

RESULT

1. Net and negative working capital for three years. Therefore, the company must carefully consider between increasing current assets and reducing short-term liabilities.
2. Gross profit 63.33% in 2007-08, 86.26% in 2008-09, 88.79% in 2009-10 and 98.79% in 2010-11 and 82.32% in 2011-12. Therefore, gross margin shows an upward trend.
3. Current liabilities more than current assets working capital is negative
4. The company achieved minimum profit in the years 2006-2010 and in the remaining financial year's on the whole financial situation Positive situation.
5. The comparative balance sheet shows that in 2008, fixed assets increased RS. 2589.36 billion While long-term foreign debt (borrowing) increased by 5663.68 billion and there was no increase or decrease in equity capital. The fixed asset investment model shows that long-term sources of capital are used for fixed assets.
6. The ratio of current assets to total assets increased in 2012. The ratio of short-term debt to total liabilities also decreased in 2008. Thus, the proportion of current assets decreased by 27.82%, while the decrease of short-term debt was 30.54% in the current years. The company's liquidity is satisfactory.

CONCLUSION

Even if a company uses its own capital, it needs to improve its liquidity, collection time, and manage its current assets and liabilities.

The company's external debt is gradually decreasing. This is mainly due to partial repayment of term loans. Another reason for the decrease in foreign debt is the increase in reserves and surpluses.

Year is 356.24 crore indicating that there may be business growth in the market during 2011-2012.

Hero Moto Corp Ltd. implementing research, modernization and technology upgrading programs, for the above expansion programs, only surplus capital is used and no external debt is generated, this is one of the long-term financial policies Good term of Hero Moto Corp ltd.

Suggestions:-

1. The Company may consider increasing different forms of current assets and reducing short-term liabilities to effectively manage working capital requirements.
2. The company can maintain its current gross profit in the coming years.
3. To meet short-term demand, the company must mobilize both short-term and long-term loans.
4. To attract new customers, the company must adapt to new products and new technologies.

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